

Personal Finance and Investing Fundamentals Cheat Sheet

19 tables · 169 concepts · Updated 2026-09-27 · cheatgrid.com

Personal finance and investing fundamentals are the core rules for managing money: budgeting, saving, clearing debt, investing, taxes and protection. The dollar figures on this sheet follow US rules for 2026, the year the IRS raised the 401(k) contribution limit to \$24,500 and the IRA limit to \$7,500. The same few decisions (where the next dollar goes, which account holds it, what it costs to own) repeat every year for decades, so small differences between them compound into large ones. A useful mental model is an order of operations: every spare dollar has one best next job, whether that is a starter emergency fund, an employer match or a high-interest card, and the answer shifts as your life does.

CONTENTS

Budgeting Methods	1
Financial Order of Operations	2
Saving and Emergency Funds	3
Debt Payoff Strategies	3
Insurance Types	4
Compound Interest and Time Value	5
Income Tax Basics	5
Tax-Advantaged Accounts	6
Investment Vehicles	7
Investing Costs and Fees	8
Investment Asset Allocation	9
Diversification and Risk Management	10
Investment Strategies	11
Investor Behavior and Biases	12
Financial Advisors and Investment Fraud	12
Tax Strategies	13
Retirement Planning Milestones	14
Social Security and Medicare	15
Estate Planning Basics	16
References	17

TABLE 1

Budgeting Methods

A budget is just a plan for where your money goes before it arrives, and the method matters less than whether you'll actually stick with it. These approaches span loose percentage splits like the 50/30/20 rule to the hands-on discipline of zero-based or envelope budgeting, plus the "save first, spend the rest" family of methods. Pick the one that matches how much friction you're willing to tolerate; for day-to-day tracking tools and a deeper debt playbook, see CheatGrid's Personal Budgeting and Debt Management cheat sheet.

Method	Example	Description
50/30/20 Rule	50% needs, 30% wants, 20% savings	• 50% of after-tax income to needs, 30% to wants, 20% to savings and debt • a flexible starting point; needs often run above 50% in high cost-of-living areas.

Method	Example	Description
Zero-Based Budgeting	Income \$5,000 minus every assigned expense and savings goal equals \$0	• Every dollar gets a job until income minus assignments equals zero • savings and debt payoff count as jobs too, not leftover cash.
Envelope Method	Cash in labeled envelopes: \$400 groceries, \$200 dining	• Splits variable spending into cash-filled envelopes by category; an empty envelope means spending stops • best for categories that swing month to month, not fixed bills like rent.
Pay Yourself First (Reverse Budgeting)	Auto-transfer 20% of each paycheck to savings, then spend the rest	• Savings move out the moment you're paid, before any bill or purchase, and you spend what's left • skips detailed tracking, but works best with steady income.
70/20/10 Rule	70% spending, 20% savings, 10% extra debt payoff or giving	• Allocates 70% to everyday spending (needs and wants combined, including minimum debt payments), 20% to savings and investing, and 10% to extra debt payoff or charitable giving • simpler than 50/30/20 since it does not require separating needs from wants.

TABLE 2

Financial Order of Operations

Once a budget frees up cash, the next question is which account or debt gets that dollar first, and a few well-known frameworks answer it in slightly different orders. All agree on the big moves (cover your safety net, capture free money, kill high-interest debt) but disagree on the exact sequence and how aggressively to save afterward. Treat any of them as a starting checklist, not a rigid law: a new baby, a layoff, or a market crash routinely bumps you between steps.

Framework	Example	Description
Dave Ramsey's 7 Baby Steps	\$1,000 starter fund → debt snowball → 3-6 month fund → invest 15% → kids' college → payoff home early → build wealth	• Debt-first sequence: pays off all non-mortgage debt via the snowball method before any investing resumes, even the employer match • more conservative savings target (15%) than the FOO's 25%.
Financial Order of Operations (FOO)	Deductibles covered → employer match → high-interest debt → 3-6 month emergency fund → Roth IRA/HSA → max employer plans → bigger goals	• Nine-step sequence from the Money Guy Show that prioritizes the employer match before paying off high-interest debt • targets investing 25% or more of income once the early steps are done.
r/personalfinance Prime Directive	Community flowchart, revised for 2026	• Crowd-sourced flowchart that, like the FOO, prioritizes a small starter fund and the employer match early • a free, non-commercial alternative maintained by the subreddit's moderators rather than tied to a book or course.
Bogleheads' Prioritizing Investments	Emergency fund → employer match → high-interest debt → HSA → other retirement accounts → medium-interest debt → 529 → taxable → low-interest debt	• Nine-priority funding order maintained by the Bogleheads community, splitting debt payoff into high, medium and low interest tiers instead of one lump step • treated as a flexible guide, not a fixed rule.
Tax-Advantaged Account Sequencing	Fill: 401(k) match → HSA → Roth IRA → max 401(k)	• Prioritize accounts by tax benefit • employer match (free money) first, then triple-tax HSA, then Roth, then additional tax-deferred • maximizes tax efficiency.

TABLE 3

Saving and Emergency Funds

Before investing makes sense, you need a cash cushion that keeps a surprise expense from turning into high-interest debt. These concepts cover how big that cushion should be, where to park it for both safety and yield, and the two numbers, your savings rate and net worth, that tell you whether the rest of your plan is actually working.

Concept	Example	Description
Emergency Fund	6 months expenses = \$18,000	- Liquid savings covering 3-6 months of essential living expenses - protects against job loss, medical emergencies, or major repairs without resorting to high-interest debt.
Starter Emergency Fund	Initial \$1,000 saved	- Minimum \$1,000 buffer for immediate emergencies - achievable first milestone that prevents small crises from becoming debt spirals while building larger fund.
High-Yield Savings Account	4.25% APY vs 0.64% national average	- FDIC-insured savings account paying well above the national average rate, often from an online bank with lower overhead - ideal for an emergency fund since it combines easy access with a better return.
FDIC Deposit Insurance Limit	\$250,000 per depositor, per bank, per ownership category	- Covers checking, savings, money market deposit accounts and CDs automatically at an FDIC-insured bank, no enrollment needed - separate ownership categories (individual, joint, retirement) each get their own coverage at the same bank.
Cash Management Account	Uninvested brokerage cash swept into a CMA earning bank-level yield, protected by FDIC or SIPC	- A brokerage or fintech account that blends checking, savings and investing features in one place - funds are protected by FDIC insurance (swept to partner banks) or SIPC insurance, depending on the provider.
Savings Rate	Save 20% of \$60,000 = \$12,000/year	Percentage of income directed to savings, including retirement contributions like a 401(k) - widely used guidelines run from about 12-15% up to 20-25% of pay depending on age and how late you started, with higher rates speeding up financial independence.
Net Worth Tracking	Assets \$250K - Liabilities \$80K = \$170K	Total assets minus total liabilities - primary metric for measuring overall financial health and progress toward wealth-building goals over time.

TABLE 4

Debt Payoff Strategies

High-interest debt is compound interest working against you, so clearing it is often the best "investment" you can make. The central choice is avalanche versus snowball (fastest savings versus fastest motivation), and the rest of these tools, from balance transfers to consolidation, mostly buy you a lower rate while you do the work. CheatGrid's Personal Budgeting and Debt Management cheat sheet covers the day-to-day mechanics of building and sticking to a payoff plan.

Method	Example	Description
Debt Avalanche	Pay minimums, extra \$500 to 18% APR card	Highest interest rate first - mathematically optimal approach saving the most money - psychologically harder since high balances can take longer to clear.
Debt Snowball	Pay minimums, extra \$500 to smallest balance	Smallest balance first regardless of interest rate - quick wins build psychological momentum - the motivation boost often outweighs its higher total interest cost.
Balance Transfer	Move \$10K to 0% APR for 18 months	- Move high-interest debt to a promotional 0% APR card - pauses interest for a fixed window, typically 12 to 21 months - usually carries a 3 to 5% upfront transfer fee and reverts to a high rate once the window ends.

Method	Example	Description
Debt Consolidation Loan	Combine \$30K credit cards into 8% loan	• A single lower-rate loan replacing multiple debts • simplifies payments and can lower total interest • doesn't fix the spending habits that caused the debt, so old cards can get run up again.
Minimum Payment Trap	\$1,000 at 13% APR, 2% minimum payment (\$20)	• CARD Act requires statements to show a warning box with this cost • paying only minimums stretches payoff across years and multiplies total interest paid.
Refinancing	\$200K mortgage 6% to 4.5% saves \$185/month	• Replace an existing loan with better terms or a lower rate • the break-even point is closing costs divided by monthly savings • resetting the loan term can raise total interest even when the rate drops.

TABLE 5

Insurance Types

Insurance is how you protect the wealth you're building from a single catastrophic event: a death, a disability, a lawsuit, a fire. Each type here covers a specific risk, and the recurring lesson is to insure the things that would genuinely wreck your finances (lost income, liability, major care) rather than over paying for bundled investment-and-insurance products. CheatGrid's Insurance and Protecting Your Income cheat sheet goes deeper on choosing coverage amounts and shopping for a policy.

Type	Example	Description
Term Life Insurance	\$500K 20-year term, \$40/month	• Pure death benefit for a specified period • no cash value • dramatically cheaper than permanent coverage • ideal during working years with dependents.
Whole Life Insurance	\$250K policy, \$200/month, cash value growth	• Permanent coverage with a cash value component • guaranteed death benefit as long as premiums keep being paid • much higher premiums than term • marketed as a forced savings feature, though its growth typically trails a diversified investment portfolio over time.
Disability Insurance	60% income replacement if unable to work	• Replaces a portion of income during disability • own-occupation vs any-occupation definitions • waiting period before benefits start • most long-term claims come from illness, not accidents.
Long-Term Care Insurance	\$3,000/month nursing care, 3-year benefit	• Covers extended custodial care at home or in a facility, which Medicare does not pay for • purchase age 50-65 optimal • expensive but protects savings from long care costs.
Umbrella Insurance	\$1M coverage above auto/home limits	• Excess liability protection beyond auto or home policy limits, once those limits are exhausted • relatively inexpensive, and worth it for anyone with meaningful assets or added risk (a pool, a teen driver), not only the wealthy.
Health Insurance	\$500/month premium, \$5,000 deductible, 80/20	• Covers medical expenses and protects against medical bankruptcy • premiums, deductibles, copays, and an out-of-pocket maximum that caps your yearly cost sharing • employer-sponsored or marketplace.
Auto Insurance	100/300/100 liability coverage	• Required liability protection plus optional comprehensive and collision coverage • state minimums are a legal floor, not a safety net, and are often insufficient • being underinsured leaves your personal assets exposed after a serious accident.
Homeowners/Renters Insurance	Dwelling + personal property + liability	• Protects home structure, possessions, and liability • replacement cost vs actual cash value • renters need their own policy, since a landlord's insurance only repairs the building, not a tenant's belongings.

TABLE 6

Compound Interest and Time Value

Compounding is the engine behind every wealth building plan: money earns returns, and those returns earn returns of their own, so time in the market matters more than almost anything else. Inflation works the opposite way, quietly shrinking what a dollar buys, so these concepts also give you the tools to tell a real gain from a paper one.

Concept	Example	Description
Compound Interest	\$10K at 8% = \$21,589 in 10 years	- Interest earned on both principal and previously earned interest, so growth compounds exponentially - works the same way against you on debt, like credit cards, since unpaid interest compounds too
Rule of 72	72 ÷ 8% return = 9 years to double	72 divided by the annual return estimates the years needed to double your money - most accurate for returns roughly between 6% and 10%
Time Value of Money	\$100 today > \$100 in 1 year	- Money available now is worth more than the same sum later, mainly due to the opportunity cost of not investing it right away - foundation for present value and future value calculations
Inflation and Purchasing Power	\$10,000 in 1975 had about the same buying power as \$60,988 in 2025 (CPI)	A gradual, broad rise in prices that steadily reduces how much a given amount of money can buy over time.
Real vs Nominal Return	5% nominal return – 3% inflation = 2% real return	Nominal return is the stated percentage gain, unadjusted for inflation real return subtracts inflation to show the true change in purchasing power
APY vs APR	5% APR loan vs a 5% APR CD compounding monthly = 5.116% APY	APR is the stated annual rate excluding compounding, used for loans APY includes compounding, used for savings, and runs higher than APR once interest compounds more than once a year
Compounding Frequency	\$10K at 10% for 1 year: quarterly compounding grows to \$11,038, daily to \$11,052	More frequent compounding periods (daily vs monthly vs annually) produce slightly higher returns - the gap widens at higher interest rates and over longer timeframes

TABLE 7

Income Tax Basics

How the US taxes income and investment income: which bracket a dollar lands in, standard deduction vs itemizing, and why gains, dividends and account type change the rate. Deliberate moves that change the tax bill on purpose belong in Tax Strategies.

Concept	Example	Description
Marginal vs Effective Tax Rate	\$60,000 taxable income (single, 2026) 22% marginal rate (top bracket) ~13% effective rate (tax ÷ income)	Marginal rate is the rate on the last dollar earned, your highest bracket Effective rate is total tax paid divided by income, always lower
Federal Tax Brackets (2026)	10% up to \$12,400 22% \$50,401–\$105,700 37% over \$640,600 (single)	- Seven progressive brackets, 10% to 37% - married filing jointly thresholds run roughly double the single ones
Standard Deduction vs Itemizing	\$16,100 standard deduction (single, 2026) Itemize instead only if mortgage interest + donations + SALT add up to more	Standard deduction is a flat amount set by filing status - Itemize on Schedule A only when itemized deductions total more than that
Tax Deduction vs Tax Credit	\$2,000 Child Tax Credit → cuts the tax bill by \$2,000 \$2,000 deduction in the 22% bracket → saves about \$440	- A credit reduces tax owed dollar for dollar - a deduction only reduces taxable income, so its value depends on your bracket

Concept	Example	Description
Short-term vs Long-term Capital Gains Rates	Stock held 11 months, sold at a gain → taxed as ordinary income Stock held 13 months → taxed at 0%, 15% or 20%	- Assets held one year or less are short-term and taxed at ordinary rates - held longer, gains get the lower long-term rates
Qualified Dividends	Buy stock before the ex-dividend date Hold it 61+ days of the 121-day window around that date → dividend is "qualified"	- Qualified dividends are taxed at capital gains rates (0/15/20%) instead of ordinary income rates - Reported separately: Box 1a (ordinary) vs Box 1b (qualified) on Form 1099-DIV
Taxable Brokerage Account	No contribution limit, withdraw anytime Selling a winner triggers capital gains tax; dividends and interest are taxed the year received	A standard, non-retirement investment account: every realized gain, dividend and interest payment is taxable in the year it happens.
Senior Deduction (OBDD)	Age 67, single, MAGI \$60,000 → extra \$6,000 deduction Married, both 65+, MAGI under \$150,000 → \$12,000 extra	- New for 2025-2028, on top of the regular and senior standard deductions, for filers 65 and older - Phases out above \$75,000 MAGI (\$150,000 joint)

TABLE 8

Tax-Advantaged Accounts

The single biggest lever most people have is *which account* they invest through, because the tax treatment compounds alongside the returns over decades. The core distinction here is timing: traditional accounts deduct now and tax later, while Roth accounts tax now and grow tax-free forever. The HSA, 529, ABLE and backdoor strategies layer on top for specific situations and high earners; CheatGrid's dedicated 401(k) match and IRA/Roth/HSA cheat sheets go much deeper on choosing between them.

Type	Example	Description
Traditional 401(k)	Contribute \$10,000 pre-tax, reduce taxable income	- Employer-sponsored plan with pre-tax contributions that lower current taxable income - taxes paid upon withdrawal in retirement - often includes employer matching.
Roth 401(k)	Contribute \$10,000 after-tax, withdraw tax-free	- After-tax contributions to employer plan with tax-free qualified withdrawals - no income limits 2026 limit \$24,500 + \$8,000 catch-up ages 50-59, \$11,250 catch-up for ages 60-63.
403(b) and 457(b) Plans	Pre-tax payroll deferral, up to \$24,500 (2026)	- Employer-sponsored pre-tax or Roth plans: 403(b) for public schools, nonprofits and ministers; 457(b) for state, local government and tax-exempt employers - share the 2026 \$24,500 employee limit with 401(k)s - some employers offer both, doubling how much you can defer.
Traditional IRA	Deduct \$7,500 contribution from taxable income	- Individual account with tax-deductible contributions; if covered by a workplace plan, the 2026 deduction phases out \$81,000-\$91,000 single, \$129,000-\$149,000 married filing jointly - taxes owed on withdrawals 2026 limit \$7,500 + \$1,100 catch-up.
Roth IRA	After-tax \$7,500 grows tax-free forever	- After-tax contributions with completely tax-free growth and withdrawals 2026 income phase-out \$153K to \$168K single, \$242K to \$252K married - ideal for young investors expecting higher future tax rates.
Backdoor Roth IRA	Contribute \$7,500 to Traditional IRA, immediately convert to Roth	- Strategy for high earners exceeding Roth income limits - contribute to non-deductible Traditional IRA, then convert to Roth - watch the pro-rata rule if you hold other pre-tax IRA money.
Mega Backdoor Roth	After-tax 401(k) contributions up to \$72,000 total	- Advanced strategy allowing up to \$72,000 combined 2026 contributions (higher with catch-up) through after-tax 401(k) contributions and in-plan conversions - requires employer plan support.
SIMPLE IRA	Employee defers \$17,000, employer matches 3% (2026)	- Retirement plan for small businesses with 100 or fewer employees 2026 employee limit \$17,000 + \$4,000 catch-up (age 50-59), \$5,250 for ages 60-63 - employer matches up to 3% of pay or gives everyone 2%.

Type	Example	Description
SEP IRA	Self-employed contribute up to 25% of income	• Simplified Employee Pension for self-employed and small business owners • employer contributions up to the lesser of 25% of compensation or \$72,000 (2026) • no catch-up or elective deferral option, but easier administration than a solo 401(k).
Solo 401(k)	Contribute as employee (\$24,500) and employer (25% of income)	• Traditional 401(k) for a business owner with no employees (or just a spouse) • owner contributes as both employee (elective deferral) and employer (up to 25% of compensation) • no nondiscrimination testing; files Form 5500-EZ once assets reach \$250,000.
HSA (Health Savings Account)	\$8,750 family contribution, triple tax advantage	• Triple tax benefit: deductible contributions, tax-free growth, tax-free withdrawals for qualified medical expenses • 2026 limits \$4,400 self-only / \$8,750 family; balances roll over every year, unlike an FSA • after 65, non-medical withdrawals owe income tax but skip the 20% penalty.
529 Plan	\$19,000/year per beneficiary, tax-free for education	• State-sponsored plan for tax-free education savings • grows tax-deferred, tax-free for qualified expenses including up to \$20,000/year in K-12 tuition (2026) • leftover funds can roll into the beneficiary's Roth IRA (SECURE 2.0), up to \$35,000 lifetime.
ABLE Account	Deposit up to \$19,000/year (2026) tax-free for disability costs	• Tax-advantaged account for someone whose disability began before age 46 • contributions aren't deductible, but growth and withdrawals for qualified disability expenses are tax-free • up to \$100,000 in the account doesn't count against SSI's resource limit.
Trump Account	\$1,000 pilot deposit invested in a low-cost S&P 500 fund until age 18	• New traditional IRA for a US child under 18, opened via Form 4547 with a parent or guardian as custodian • \$1,000 one-time federal deposit for citizens born 2025-2028, invested in low-cost broad-market funds • traditional IRA rules apply after age 18.

TABLE 9

Investment Vehicles

Once money is in an account, these are the actual things you can buy with it, arranged roughly from highest risk and effort to safest and simplest. Knowing the trade-offs, individual stocks for concentrated bets, index funds and ETFs for cheap diversification, bonds and CDs for stability, lets you assemble a portfolio that fits your timeline instead of chasing whatever's popular. CheatGrid's Investing 101 cheat sheet builds these into a full first portfolio, step by step.

Vehicle	Example	Description
Individual Stocks	Buy 100 shares of NVDA at \$900	• Ownership shares in single companies • potential for high returns but concentrated risk • requires research and monitoring • suitable for experienced investors.
Bonds	\$10,000 10-year Treasury at 4.1% yield	• Debt securities paying fixed interest • lower risk than stocks • provide income and portfolio stability • inverse relationship with interest rates.
Mutual Funds	VFIAX tracks S&P 500, \$10K minimum	• Pooled investments professionally managed • buy at end-of-day NAV • active management typically has higher fees • suitable for hands-off investors.
ETFs (Exchange-Traded Funds)	VOO S&P 500 ETF, 0.03% expense ratio	• Basket of securities trading like stocks • typically lower fees than mutual funds • trade throughout the day • tax-efficient structure.

Vehicle	Example	Description
Index Funds	FXAIX S&P 500 index, passive tracking	- Mutual funds or ETFs tracking market indexes - ultra-low fees - over the long run, most active large-cap managers fail to beat the index - ideal core holding.
Target-Date Funds	Vanguard Target 2050 Fund	Automatically rebalances from aggressive to conservative as target retirement date approaches - single-fund solution reducing equity allocation over time.
Money Market Funds	VUSXX yielding 4.5%, \$1 stable NAV	- Ultra-safe cash-equivalent investments in short-term debt - stable \$1 share price - higher yields than savings accounts - not FDIC insured, unlike a bank money market account.
Certificates of Deposit (CDs)	5-year CD at 4.5% APY, FDIC-insured	Fixed-rate time deposits with guaranteed returns - FDIC insurance up to \$250K - penalties for early withdrawal - ladder strategy provides liquidity.
Treasury Bills, Notes and Bonds	4-week Bill, 10-year Note, 30-year Bond, bought at auction	- Direct debt of the U.S. government - Bills mature in 4 to 52 weeks, sold at a discount - Notes run 2 to 10 years, Bonds 20 or 30 years, both paying interest every six months.
TIPS (Treasury Inflation-Protected Securities)	10-year TIPS, principal rises and falls with CPI	- Treasury security whose principal adjusts with inflation - pays a fixed rate every six months on the adjusted principal - terms of 5, 10 or 30 years, never returns less than the original principal at maturity.
Municipal Bonds	State of California general obligation bond	- Debt issued by states, cities and counties to fund public projects - interest is usually exempt from federal income tax - general obligation bonds are backed by taxing power, revenue bonds by a project's income.
I Bonds (Inflation-Protected)	\$10,000/year limit, adjusts with inflation	- U.S. Treasury bonds with rates tied to inflation 30-year maturity, cashable after 1 year (penalty before 5 years) \$10K annual purchase limit protects purchasing power.
REITs (Real Estate Investment Trusts)	VNQ real estate ETF, 4.3% dividend yield	- Companies owning income-producing real estate - required to distribute nearly all taxable income to shareholders (most pay out 100%) - provide real estate exposure without property management.
Annuities	SPIA pays \$500/month for life starting age 65	- Insurance products providing guaranteed income streams - fixed, variable, or indexed, listed in order of increasing risk - immediate or deferred payouts - suitable for longevity risk management.

TABLE 10

Investing Costs and Fees

Fees look trivial as a single percentage, but they quietly compound against you the same way returns compound for you. A 1% annual drag can swallow a large share of your portfolio over a working lifetime, so learning to spot expense ratios, loads, and advisory fees is one of the few guaranteed ways to keep more of what you earn.

Fee	Example	Description
Expense Ratio	0.03% on \$100K = \$30/year	Annual fee as percentage of assets - automatically deducted from fund returns 0.10% or less for index funds, 0.50%+ for active funds - compounds significantly over decades.
Load Fees	5% front-load on \$10,000 = \$500 upfront	- Sales charges on mutual fund purchases or sales - front-load charged upfront, back-load on sale - the fund's separate annual expense ratio still applies on top of any load - avoid load funds, no-load alternatives widely available.

Fee	Example	Description
12b-1 Fees	0.25% annual marketing fee	• Marketing and distribution costs in mutual funds • included in expense ratio • ETFs do not charge 12b-1 fees • a fund advertised as no-load can still carry a 12b-1 fee.
Transaction Fees	\$0 to \$25+ per stock trade depending on the broker	• Brokerage charges per buy/sell order • many brokers now offer commission-free trades • even commission-free trades still carry a bid-ask spread cost • still apply to some mutual funds and options.
Bid-Ask Spread	Buy at \$10.05 ask, sell at \$10.00 bid = \$0.05 spread per share	• Hidden cost of trading: the gap between what buyers will pay (bid) and sellers will accept (ask) • wider on thinly traded stocks and ETFs, narrower on popular ones • charged on every trade, even with a \$0-commission broker.
Advisory Fees	1% AUM fee on \$500K = \$5,000/year	• Asset-based fee an adviser charges to manage a portfolio, usually billed quarterly • robo-advisers typically undercut human advisers, but small flat subscription fees can cost more on a small account • weigh the planning and coaching received against the dollar cost.
Account Maintenance and Wrap Fees	\$25/year fee on accounts under \$10,000, or a 1.5% wrap fee bundling advice and trading	• A flat maintenance fee some funds charge on accounts below a minimum balance • a wrap account instead bundles management, brokerage and admin costs into one asset-based fee • separate from the fund's own expense ratio.

TABLE 11

Investment Asset Allocation

Allocation (the split between stocks, bonds, and other assets) drives far more of your long-term result than picking individual winners. These strategies give you different ways to decide that mix, whether you anchor it to your age, a fixed ratio, your risk profile, or a formal policy you set and then hold or actively tilt. CheatGrid's Investing 101 cheat sheet covers building and rebalancing an actual portfolio around one of these.

Strategy	Example	Description
Age-Based Allocation	Age 30: 100 - 30 = 70% stocks	• Rule of 100 subtracts your age from 100 for a starting stock percentage • a rough guideline you reapply yourself as you age, unlike a fund's built-in glide path.
60/40 Portfolio	\$100K: \$60K stocks, \$40K bonds	• Traditional balanced allocation combining growth and stability • 60% equities for returns, 40% bonds for income and typically lower volatility • still carries real risk, in 2022 stocks and bonds fell together and the mix lost about a quarter of its value.
Risk-Based Allocation	Moderate profile: 50% stocks, 50% bonds and cash	• Portfolio mix set by your risk profile, ranging from Conservative to Aggressive Growth • based on your stock allocation percentage rather than your age.
Glide Path	Stocks: 80% age 30 → 40% age 70	• Predetermined reduction in risk over time, built into the fund itself • automatically shifts from growth-focused to income-focused as retirement nears • used in target-date funds, unlike a formula you apply yourself.
Three-Fund Portfolio	U.S. stocks 60%, international 20%, bonds 20%	• Bogleheads approach using total market, international, and bond index funds • complete diversification with minimal complexity and ultra-low costs.
Strategic Asset Allocation	50% stocks, 50% bonds, rebalanced back to that mix once either side drifts more than 5%	• Sets a base policy mix from your expected returns, risk tolerance, and time frame, then holds it • close to buy-and-hold: you rebalance back to the target instead of reacting to markets.
Tactical Asset Allocation	Temporarily raise stocks from a 50/50 target to 65/35 to chase a short-term opportunity, then shift back	• A short-term, moderately active deviation from your strategic mix to capture an unusual opportunity • you return to the long-term target once the opportunity has played out.

Strategy	Example	Description
Asset Location	Bonds in IRA, stocks in taxable account	• Placing tax-inefficient assets (bonds, REITs) in tax-deferred accounts, tax-efficient ones (index funds) in taxable accounts • a separate decision from allocation, estimated to add up to about 0.75% in annual after-tax return.
Core-Satellite	80% index funds (core) + 20% individual stocks (satellite)	• Majority in low-cost index funds (the core) for stability • smaller allocation (the satellite) to active picks or specialized strategies for potential outperformance.

TABLE 12

Diversification and Risk Management

Diversification is the closest thing investing has to a free lunch: spreading money across assets that don't all move together smooths out the ride without necessarily lowering returns. These principles cover the types of risk an investor faces, the dimensions you can spread along, asset class, geography, sector, and the habits, like rebalancing, that keep risk in check over a full market cycle.

Principle	Example	Description
Risk-Return Tradeoff	A savings account offers little risk of loss but a low return, while a diversified stock fund can lose double digits in a bad year but has a higher expected long-term return	• Higher potential return requires accepting higher risk • the appropriate tradeoff depends on time horizon and risk tolerance • applies to a single holding or a whole portfolio.
Systematic vs Unsystematic Risk	COVID-19 hurt nearly every sector at once (systematic), while one company's product recall only hurts that stock (unsystematic)	• Unsystematic (diversifiable) risk is specific to one company or sector and can be reduced by holding more assets • systematic (market) risk affects the whole market and cannot be diversified away.
Volatility (Standard Deviation)	Two funds both average 5% a year: one swings between -15% and +25%, the other stays between 3% and 7%	• Measures how far returns swing from their own average • higher standard deviation means more risk and a wider range of possible outcomes • used to compare how bumpy the ride is between investments with similar returns.
Inflation Risk	A bond paying a fixed 3% coupon loses real value when inflation runs at 5%	• Rising prices erode purchasing power over time • hits investors holding fixed-rate interest the hardest • cash and cash equivalents carry the most exposure to it.
Asset Class Diversification	60% stocks, 30% bonds, 10% real estate	• Spread investments across asset types with different risk/return profiles • reduces portfolio volatility when assets move independently • lowers company and sector specific (unsystematic) risk, but cannot eliminate market wide (systematic) risk.
Geographic Diversification	70% U.S., 30% international stocks	• Hold both domestic and international investments • reduces exposure tied to one country's economy • captures global growth opportunities beyond home market.
Sector Diversification	Growth sectors like technology and industrials tend to lead in an expanding economy, while defensive sectors like utilities and consumer staples tend to hold up better in a slowdown	• Avoid concentration in a single industry • different sectors perform differently across the economic cycle • prevents a single sector's downturn from devastating the whole portfolio.
Correlation	Large-cap U.S. stock funds often correlate near +0.9 with the broad market, while government bonds can turn negative when stocks sell off	• Statistical relationship between asset movements • low or negative correlation improves diversification benefits • bonds often, but not always, rise when stocks fall.
Rebalancing	60/40 portfolio drifts to 70/30 after stocks rally, sell some stocks to restore the 60/40 mix	• Restore target allocation by selling outperformers and buying underperformers • enforces buy-low-sell-high discipline • typically done annually or when drift exceeds a set percentage.

Principle	Example	Description
Sequence of Returns Risk	Negative returns in the early years of retirement, combined with ongoing withdrawals, can deplete a portfolio that would have lasted fine under a different order of the same average returns	• Timing of returns matters during the withdrawal phase • losses early in retirement combined with withdrawals can permanently damage a portfolio's sustainability • distinct from ordinary market risk, since it is about the ORDER returns happen in, not just their average.

TABLE 13

Investment Strategies

Beyond what you buy and how you split it lies the question of *how* you pick: the philosophy guiding your decisions. These approaches range from the passive simplicity of buy-and-hold index investing to the more active disciplines of value, growth, and dividend investing, each with its own evidence base and demands on your time. CheatGrid's Investing 101 cheat sheet is the place to put any of these into practice on a first portfolio.

Strategy	Example	Description
Buy and Hold	Purchase VOO, hold 30+ years	• Long-term ownership regardless of market fluctuations • minimizes taxes and transaction costs from frequent trading • historically outperforms active management once fees and taxes are counted
Passive Investing (Indexing)	Buy and hold VTI (total market) or VOO (S&P 500), rarely trade	• Tracks a market index instead of picking individual stocks • Minimal buying and selling keeps costs and taxes low • About 9 in 10 actively managed funds trail the S&P 500 over 15 years (SPIVA)
Active Investing (Active Management)	Fund manager hedges and picks individual stocks trying to beat the S&P 500	• Hands-on buying and selling that aims to beat the market average • Needs ongoing research and a portfolio manager's judgment calls • Costs more in fees and trading than a passive strategy
Dollar-Cost Averaging	Invest \$500/month regardless of price	• Invests a fixed amount at set intervals regardless of price • Smooths out entry price and eases the psychology of investing • Underperforms lump sum roughly two-thirds of the time since it spends less time in the market
Lump Sum Investing	Invest \$50,000 immediately	• Deploys the entire sum immediately rather than gradually • more time in the market to compound tends to beat waiting for a better entry point • outperforms dollar-cost averaging roughly two-thirds of the time but requires comfort with short-term volatility
Value Investing	Buy stocks with low P/E, trading below book value	• Focus on undervalued companies trading below intrinsic worth • requires fundamental analysis • Warren Buffett's legendary approach
Growth Investing	Technology stocks with 20%+ earnings growth	• Companies with above-average growth potential • typically higher P/E ratios • more volatile but potentially higher returns
Dividend Aristocrats	Dividend Aristocrats: S&P 500 stocks with 25+ years of dividend increases	• S&P 500 companies that have raised their dividend every year for 25+ years • reinvested dividends compound income over time • popular with retirees for a steady, growing cash flow
Sector Rotation	Shift from cyclical into defensive sectors ahead of a forecast recession	• Moves money between industry sectors as the economic cycle turns • aims to hold the sectors that lead each stage of the cycle • hard to time accurately, so it often underperforms just staying invested

TABLE 14

Investor Behavior and Biases

An investor's own psychology, not the market, causes most of the damage to long-run returns: a short list of predictable biases pushes people to buy high, sell low and trade too often. Naming a bias in the moment is most of the fix.

Concept	Example	Description
Loss Aversion	Losing \$100 feels far worse than finding \$100 feels good, so a single bad month outweighs several good ones in an investor's mind.	Losses hurt roughly twice as much as an equivalent gain feels good, pushing decisions that avoid realizing a loss over decisions that maximize return.
Herd Instinct (FOMO)	Retail investors piled into meme stocks and dot-com IPOs mainly because everyone else was buying, without checking the underlying business.	- Following the crowd instead of independent research, often driven by fear of missing out - fuels asset bubbles and the panic selling that follows once the crowd reverses.
Overconfidence Bias	74% of U.S. drivers rate themselves as better than average, the same misplaced confidence that leads investors to trade too often.	Overestimating one's own knowledge or ability to beat the market, leading to excessive trading, concentrated bets and underestimated risk.
Recency Bias	After a market crash, an investor stays in cash for years, wrongly assuming the downturn will just keep repeating.	Giving recent events more weight than long-run history warrants, so a hot streak or a crash feels like it will continue indefinitely.
Performance Chasing	39% of all new money into mutual funds flows into the prior year's top 10% of performers, funds that often lag afterward.	Buying whatever has performed best recently instead of following a plan, which tends to mean buying near the top of a run just before it fades.
Market Timing vs Time in Market	A fully invested S&P 500 portfolio returned 10% annualized from 2005 to 2025, but missing just the 10 best days in that stretch cut the return to 5.6%	Staying invested beats attempting to time entry and exit - missing a handful of the market's best days devastates long run returns - consistent investing historically outperforms waiting for a "perfect" moment.
Anchoring	An investor bought a stock at \$100 and keeps waiting to sell "when it gets back to \$100," ignoring that the company's outlook has since changed.	Fixating on an arbitrary reference point, such as a purchase price, and judging every later decision against it instead of current fundamentals.
Disposition Effect	A portfolio holds a stock down 40% for three years while the winning position bought the same day was sold after a 10% gain within weeks.	The tendency to sell winning investments too early to lock in a gain while holding losing ones too long, hoping to break even.
Home Bias	Americans hold about 85% of their stock portfolios in domestic companies even though the U.S. is a shrinking share of global market value.	Overweighting domestic investments out of familiarity, which leaves a portfolio less diversified and more exposed to one country's risk.

TABLE 15

Financial Advisors and Investment Fraud

Choosing a financial professional means checking who they answer to and how they get paid; avoiding fraud means knowing the warning signs and the free federal tools that check a license before you hand over any money.

Concept	Example	Description
Fiduciary Duty vs Best-Interest Standard	Ask a prospective advisor: "Are you a fiduciary at all times with my account, in writing?"	- A fiduciary (registered investment adviser) must put your interests first at all times - Reg BI's best-interest standard binds a broker only at the moment of a recommendation
Fee-Only vs Commission-Based Advisor	A fee-only planner charges a flat fee or hourly rate; a commission-based one is paid by the fund company for every product sold	Fee-only advisors are paid solely by their clients, avoiding product conflicts Commission-based and fee-and-commission advisors earn more by selling certain products

Concept	Example	Description
Investment Professional Background Check (BrokerCheck, IAPD)	Search a name at Investor.gov and get redirected to IAPD (advisers) or FINRA's BrokerCheck (brokers)	Free SEC/FINRA tools showing whether a professional is licensed and any disciplinary history
Regulation Best Interest and Form CRS	Before you open an account, the firm hands you a short Form CRS listing its fees, conflicts of interest and standard of conduct	SEC rules requiring brokers to recommend in a client's best interest and to disclose services, costs and conflicts upfront
Red Flags of Investment Fraud	An unsolicited caller promises "guaranteed" 20% monthly returns and pressures you to wire money today	• Promises of great wealth and guaranteed returns • Pressure to invest right now, "everyone is buying it" pitches • Unlicensed sellers or requests to pay by gift card or wire
Ponzi Scheme	Bernie Madoff paid steady "returns" to earlier investors using new investors' deposits, for decades, until the flow of new cash stopped	• Pays existing investors with money from new investors rather than real profit • collapses once new money dries up
Pump-and-Dump Scheme	Promoters flood social media with "breakout" tips on a thinly traded stock, then sell their own shares once the price spikes	Fraudsters hype a stock with false claims to inflate its price, then dump their shares before it crashes
SIPC Protection	A SIPC-member brokerage fails while holding \$300,000 in stock for you; SIPC restores the securities, but a stock that already fell 50% in value isn't reimbursed	• Insures cash and securities up to \$500,000 (incl. \$250,000 cash) if a member brokerage fails • does not cover market losses

TABLE 16

Tax Strategies

The order and timing of your moves can save more than the returns themselves, especially as you transition from earning to drawing down. These strategies, Roth conversions, harvesting gains and losses in the right years, charitable giving, and passing appreciated assets to heirs, are about deliberately controlling which dollars get taxed and when, rather than leaving it to chance.

Strategy	Example	Description
Tax Loss Harvesting	Sell loser to offset \$10K gain, buy similar fund	• Sell losing positions to offset gains • reduces tax liability • reinvest in similar asset to maintain allocation • beware the 30-day wash sale rule.
Wash Sale Rule	Sell stock at loss, can't rebuy 30 days	• Cannot claim loss if substantially identical security bought 30 days before or after sale • disallowed loss added to replacement cost basis • doesn't apply to crypto currently, since the IRS treats it as property, not a security.
Roth Conversion	Convert \$50K Traditional IRA to Roth, pay tax now	• Transfer pre-tax IRA to Roth IRA paying ordinary income tax • future growth and withdrawals tax-free • strategic in low-income years or before RMDs.
Roth Conversion Ladder	Convert \$30K annually for 5 years to Roth	• Systematic multi-year conversions staying within lower tax brackets • each conversion has its own 5-year clock and is accessible penalty-free once that clock ends • enables early retirement withdrawals.
Capital Gains Harvesting	Realize gains at 0% long-term rate	• Sell appreciated assets in low-income years at favorable 0% or 15% long-term capital gains rates • reset cost basis higher • the gap years between retirement and RMDs are often ideal, when income tends to be lowest.
Qualified Charitable Distributions (QCD)	Donate \$50K RMD directly to charity	• Direct IRA transfers to charity after age 70½ • satisfies RMD, excludes from taxable income • more beneficial than itemized deduction for many, since it works even with the standard deduction.

Strategy	Example	Description
Donor-Advised Fund (Bunching)	Bunch \$50K of giving into a DAF in one year, grant it out over 5	• Contribute now, deduct now, grant later, avoiding capital gains tax on donated appreciated securities • "bunching" several years of giving into one year clears the itemizing threshold, then take the standard deduction in off years.
Stepped-Up Basis (at Death)	Heirs inherit stock at its date-of-death value, erasing the prior gain	• Heirs' cost basis resets to fair market value at death, erasing the built-in gain • rewards holding appreciated assets until death rather than selling • doesn't apply to property gifted to the decedent within the prior year.
SECURE Act 2.0 Changes	RMD age increased from 72 to 73 (75 in 2033)	• Recent legislation increased RMD starting age, added a higher catch-up tier for ages 60 through 63, and allows 529-to-Roth rollovers • reduces forced distributions allowing longer tax-deferred growth.
Opportunity Zone Investing	Defer capital gains investing in OZ fund	• Defer capital gains in a Qualified Opportunity Fund • a 10-year hold lets the fund's gains go untaxed, though the original gain stays taxable eventually • zones sunset end of 2026, replaced by a new round in 2027.

TABLE 17

Retirement Planning Milestones

Retirement planning runs on a calendar of specific ages, each unlocking a benefit or imposing a rule: from catch-up contributions at 50, to penalty-free withdrawals at 59½, to required distributions at 73. Knowing these dates ahead of time lets you sequence withdrawals and Social Security claims to your advantage rather than scrambling when each one arrives.

Milestone	Example	Description
Age 50: Catch-Up Contributions	401(k) \$24,500 + \$8,000 catch-up = \$32,500	• Additional \$8,000 for 401(k), \$1,100 for IRA allowed once you turn 50, based on your age at the end of the calendar year, not your exact birthday • accelerates savings as retirement approaches • 2026 limits.
Ages 60-63: Super Catch-Up	401(k) catch-up jumps to \$11,250 instead of \$8,000 (2026)	• SECURE 2.0 gives this four-year band a bigger 401(k)/403(b)/457 catch-up than the standard 50+ amount • SIMPLE plans get a smaller \$5,250 version • drops back to \$8,000 at 64.
Age 59½: Penalty-Free Withdrawals	Withdraw IRA funds without 10% penalty	• Earliest age for penalty-free withdrawals from retirement accounts, this makes withdrawals optional, not mandatory • income taxes still apply to pre-tax accounts • Roth principal always penalty-free.
Rule of 55: Early 401(k) Access	Leave your job at 55: withdraw from that employer's 401(k) penalty-free	• 10% early-withdrawal penalty waived for leaving your job in or after the year you turn 55 • covers only that employer's plan (not IRAs), with the same break at 50 for public safety workers.
Age 62: Early Social Security	Claim \$1,200/month vs \$1,700 at FRA	• Earliest Social Security claiming age, with a permanently reduced benefit of up to 25-30% for those with a full retirement age of 67 • locks in lower lifetime payments • rarely optimal unless health issues shorten expected lifespan.
Age 65: Medicare Eligibility	Enroll in Parts A, B, D within your 7-month Initial Enrollment Period	• Initial Enrollment Period runs from 3 months before to 3 months after your 65th birthday month • missing it adds a 10% Part B surcharge for every year you delay, usually charged for as long as you keep the coverage.
Age 67: Full Retirement Age (FRA)	Born 1960+: claim full \$1,700 benefit	• Age for 100% of your own calculated Social Security benefit, with no early-claiming reduction • varies by birth year • FRA is 67 for those born 1960 or later.
Age 70: Maximum Social Security	Delayed credits: \$1,700 to \$2,108 (+24%)	• Delayed retirement credits add about 8% a year from FRA to 70 • credits stop at 70, so there's no benefit to waiting longer • often best for higher earners expecting a long retirement.

Milestone	Example	Description
Age 73: Required Minimum Distributions	\$500K IRA ÷ 26.5 factor = \$18,868 RMD	- Mandatory withdrawals from tax-deferred accounts begin - calculated by account balance divided by an IRS life-expectancy factor 25% excise tax on any amount not withdrawn on time, reduced to 10% if corrected within two years - age increases to 75 in 2033.
4% Safe Withdrawal Rule (25x Rule)	\$1M portfolio to \$40K first year	- Withdraw 4% of savings in year one, then adjust for inflation, to fund about 30 years of retirement (the 25x rule, inverted) - rooted in Bill Bengen's historical market research - some planners prefer 3% for safety, others say 5% is realistic.
Retirement Savings by Age 30	1x annual salary: \$60K salary = \$60K saved	- Aspirational 1x salary saved by 30, assuming steady saving from 25 and retiring around 67 - roughly 3x by 40, 6x by 50, 10x by 67 - a guidepost, not a personalized target.

TABLE 18

Social Security and Medicare

Two government programs form the backbone of most retirements, and small decisions about each have large, permanent consequences. The terms here (PIA, the earnings test, COLA, spousal and survivor benefits, and the alphabet of Medicare parts) are what you need to time your claim, coordinate as a couple, and avoid the penalties and surcharges that catch people off guard.

Concept	Example	Description
Primary Insurance Amount (PIA)	Average indexed earnings → \$1,976/month	Monthly benefit from your highest 35 years of wage-indexed earnings, run through a 90%/32%/15% bend-point formula - claiming early reduces it, delaying past FRA increases it permanently
Earnings Test	Under FRA: \$24,480 earnings limit in 2026	Before FRA and still working, \$1 withheld per \$2 earned over \$24,480 (\$1 per \$3 over \$65,160 in your FRA year) - withheld amounts raise your benefit later; no limit once you reach FRA
COLA (Cost of Living Adjustment)	2.8% increase in 2026 benefits	Automatic annual increase set from the CPI-W inflation index, 2.8% for 2026 - can lag the healthcare costs retirees actually feel
Spousal Benefits	Claim 50% of spouse's PIA at FRA	- Lower-earning spouse can claim up to 50% of the higher earner's PIA, in full only at FRA (about 32.5% at 62) - SSA pays the larger of your own or the spousal benefit, never both
Survivor Benefits	Widowed at 60: 71.5% of spouse's benefit	Spouse, ex-spouse, or child of a deceased worker claims on that worker's earnings record - full 100% only at your own FRA, as low as 71.5% at 60 - SSA pays the larger of this or your own benefit, never both
Medicare Initial Enrollment Period	7-month window: 3 before, month of, 3 after turning 65	First chance to sign up for Medicare, starting 3 months before your 65th birthday month and ending 3 months after - missing it means a late enrollment penalty and a wait for the next General Enrollment Period
Medicare Part B Premium	\$202.90/month standard 2026 premium	Standard monthly charge for Medicare's medical insurance, usually deducted from Social Security - Part A stays premium-free only with about 10 years of Medicare tax payments by you or a spouse
IRMAA (Income-Related Adjustment)	Income >\$109K single: extra \$81.20 to \$487/month Part B (2026)	Income-based surcharge added to Parts B and D premiums, based on your tax return from two years prior - a cliff: \$1 over a threshold triggers the whole higher tier
Medicare Part D	Prescription drug plan \$30-100/month	Prescription coverage avoiding late enrollment penalty - plans vary by formulary and cost - late enrollment penalty is 1% of the national base beneficiary premium per month delayed past initial eligibility, added to your premium for as long as you're enrolled.

Concept	Example	Description
Medicare Advantage (Part C)	Network plan, may bundle Part D, dental, vision	• Private plan alternative to Original Medicare that must cover everything Parts A and B do, often adding drug, dental or vision coverage • usually needs in-network providers and may require prior authorization
Medigap (Supplement Insurance)	Plan G covers copays, deductibles	• Private insurance filling Medicare gaps • standardized plans (A-N) • covers out-of-pocket costs Original Medicare doesn't • cannot be used with Medicare Advantage, you must pick one or the other.

TABLE 19

Estate Planning Basics

Estate planning isn't only for the wealthy, it's the paperwork that decides who controls your money and your medical care if you can't, and where everything goes when you're gone. A will, a trust, powers of attorney, and up to date beneficiary designations work together to spare your family probate, guesswork, and avoidable taxes.

Document	Example	Description
Last Will and Testament	Designate assets to children, name executor	• Legal document specifying asset distribution upon death • names guardian for minor children • requires probate • foundational estate planning document everyone needs.
Revocable Living Trust	Transfer home title to trust, avoid probate	• Trust holding assets avoiding probate process • maintains control during life • private (unlike wills) • can be changed or revoked • faster distribution to heirs.
Beneficiary Designations	IRA: spouse 100%, children contingent	• Named recipients on retirement accounts and life insurance • override will provisions • keep current after marriages, divorces, births • review annually.
Durable Power of Attorney	Spouse manages finances if incapacitated	• Legal authority for someone to manage financial affairs during incapacity • "durable" means it survives incapacity, unlike a regular power of attorney which ends • essential for avoiding guardianship or conservatorship proceedings.
Healthcare Power of Attorney	Designate medical decision maker	• Legal document naming a health care proxy to make medical decisions if unable • separate from financial POA • coordinates with a living will.
Living Will (Advance Directive)	Document end of life treatment preferences	• Specifies medical treatment wishes for terminal or permanently unconscious conditions • reduces family burden of difficult decisions • states your own wishes in writing, while a healthcare power of attorney names a person to decide.
TOD/POD Accounts	Bank account Transfer-On-Death or Payable-On-Death to daughter	• Accounts with Transfer-On-Death or Payable-On-Death designations • assets pass directly to beneficiary avoiding probate • beneficiary has no access or management rights before the account holder's death • simple, single-account probate avoidance tool, not a substitute for incapacity planning.
Irrevocable Trust	Fund an irrevocable life insurance trust (ILIT) so the payout sits outside the taxable estate	• Trust whose terms can't be changed or cancelled once created, with legal ownership passed to a trustee • removes assets from the grantor's taxable estate and shields them from creditors • used for estate tax reduction, Medicaid planning and asset protection.
Step-Up in Basis	Stock bought for \$2, worth \$15 at death: heir's cost basis becomes \$15	• Resets an inherited asset's cost basis to its fair market value on the date of death • wipes out the capital gains tax owed on growth during the owner's life • can also step down if the asset lost value.

Document	Example	Description
Annual Gift Tax Exclusion	\$19,000 per recipient in 2026, \$38,000 for a married couple splitting gifts	• Gifts up to this amount per recipient, per year don't count against the lifetime estate/gift exemption or require a gift tax return • a simple way to move wealth to heirs gradually while you're still alive.
Estate Tax Exemption	2026: \$15M individual, \$30M couple (with portability)	• Amount exempt from federal estate tax, above which the top 40% rate applies • portability lets a surviving spouse add a deceased spouse's unused exemption • some states levy their own, lower estate tax.

References

Official Documentation

1. Financial Order of Operations (FOO)
2. Cash Management Account
3. Umbrella Insurance
4. Rule of 72
5. Time Value of Money
6. Inflation and Purchasing Power
7. Real vs Nominal Return
8. APY vs APR
9. Compounding Frequency
10. Federal Tax Brackets (2026)
11. Standard Deduction vs Itemizing
12. Tax Deduction vs Tax Credit
13. Short-term vs Long-term Capital Gains Rates
14. Qualified Dividends
15. Senior Deduction (OBDD)
16. Traditional 401(k)
17. Roth 401(k)
18. 403(b) and 457(b) Plans
19. Traditional IRA
20. Roth IRA
21. SIMPLE IRA
22. SEP IRA
23. Solo 401(k)
24. HSA (Health Savings Account)
25. 529 Plan
26. Trump Account
27. Individual Stocks
28. Bonds
29. Mutual Funds
30. ETFs (Exchange-Traded Funds)
31. Index Funds
32. Target-Date Funds
33. Money Market Funds
34. Certificates of Deposit (CDs)
35. Municipal Bonds
36. REITs (Real Estate Investment Trusts)
37. Annuities
38. Load Fees
39. 12b-1 Fees
40. Transaction Fees
41. Bid-Ask Spread
42. Advisory Fees
43. Account Maintenance and Wrap Fees
44. Age-Based Allocation
45. Risk-Return Tradeoff
46. Systematic vs Unsystematic Risk
47. Inflation Risk
48. Asset Class Diversification
49. Geographic Diversification
50. Correlation
51. Rebalancing
52. Sequence of Returns Risk
53. Buy and Hold
54. Passive Investing (Indexing)
55. Value Investing
56. Growth Investing
57. Dividend Aristocrats
58. Sector Rotation
59. Loss Aversion
60. Herd Instinct (FOMO)
61. Overconfidence Bias
62. Recency Bias
63. Performance Chasing
64. Market Timing vs Time in Market
65. Anchoring
66. Investment Professional Background Check (BrokerCheck, IAPD)
67. Regulation Best Interest and Form CRS
68. Red Flags of Investment Fraud
69. Ponzi Scheme
70. Pump-and-Dump Scheme
71. SIPC Protection
72. Roth Conversion
73. SECURE Act 2.0 Changes
74. Opportunity Zone Investing
75. 4% Safe Withdrawal Rule (25x Rule)
76. Survivor Benefits
77. Beneficiary Designations
78. Durable Power of Attorney
79. Living Will (Advance Directive)
80. TOD/POD Accounts
81. Irrevocable Trust
82. Step-Up in Basis
83. Annual Gift Tax Exclusion
84. Estate Tax Exemption
85. SIMPLE IRA
86. SEP IRA
87. ABLE Account
88. Account Maintenance and Wrap Fees
89. Passive Investing (Indexing)
90. Stepped-Up Basis (at Death)

91. Advisory Fees - <https://www.investor.gov/introduction-investing/getting-started/working-investment-professional>
93. Tax Loss Harvesting - <https://www.irs.gov/publications/p550>
95. IRS Notice 2026-05, HSA and HDHP cost-of-living limits for 2026 - <https://www.irs.gov/pub/irs-drop/n-26-05.pdf>
97. Sector Diversification - <https://www.investopedia.com/terms/s/sector.asp>

92. REITs (Real Estate Investment Trusts) - <https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins-65>
94. IRS Publication 590-B (RMD worksheets and the Uniform Lifetime Table used for the Age 73 RMD example) - <https://www.irs.gov/publications/p590b>
96. 4% Safe Withdrawal Rate - <https://www.investopedia.com/terms/f/financial-independence-retire-early-fire.asp>

Articles & Tutorials

98. 50/30/20 Rule
100. Envelope Method
102. 70/20/10 Rule
104. Bogleheads' Prioritizing Investments
106. Emergency Fund
108. High-Yield Savings Account
110. Savings Rate
112. Debt Avalanche
114. Balance Transfer
116. Minimum Payment Trap
118. Term Life Insurance
120. Long-Term Care Insurance
122. Auto Insurance
124. Compound Interest
126. Taxable Brokerage Account
128. Mega Backdoor Roth
130. Treasury Bills, Notes and Bonds
132. I Bonds (Inflation-Protected)
134. 60/40 Portfolio
136. Glide Path
138. Asset Location
140. Dollar-Cost Averaging
142. Fiduciary Duty vs Best-Interest Standard
144. Tax Loss Harvesting
146. Capital Gains Harvesting
148. Stepped-Up Basis (at Death)
150. Rule of 55: Early 401(k) Access
152. Age 65: Medicare Eligibility
154. Age 70: Maximum Social Security
156. Retirement Savings by Age 30
158. Earnings Test
160. Spousal Benefits
162. IRMAA (Income-Related Adjustment)
164. Medicare Advantage (Part C)
166. Last Will and Testament
168. Opportunity Zone Investing
170. Healthcare Power of Attorney - <https://medlineplus.gov/advancedirectives.html>
172. Buy and Hold - <https://www.capitalgroup.com/individual/planning/investing-fundamentals/time-not-timing-is-what-matters.html>
174. High-Yield Savings Account - <https://www.ally.com/bank/online-savings-account/>
176. SEP IRA contribution limits for 2025 and 2026 (Fidelity) - <https://www.fidelity.com/learning-center/smart-money/sep-ira-contribution-limits>
178. Umbrella Insurance - <https://www.fidelity.com/viewpoints/wealth-management/do-you-need-umbrella-insurance>

99. Zero-Based Budgeting
101. Pay Yourself First (Reverse Budgeting)
103. Dave Ramsey's 7 Baby Steps
105. Tax-Advantaged Account Sequencing
107. Starter Emergency Fund
109. FDIC Deposit Insurance Limit
111. Net Worth Tracking
113. Debt Snowball
115. Debt Consolidation Loan
117. Refinancing
119. Disability Insurance
121. Health Insurance
123. Homeowners/Renters Insurance
125. Marginal vs Effective Tax Rate
127. Backdoor Roth IRA
129. ABLE Account
131. TIPS (Treasury Inflation-Protected Securities)
133. Expense Ratio
135. Risk-Based Allocation
137. Three-Fund Portfolio
139. Core-Satellite
141. Disposition Effect
143. Fee-Only vs Commission-Based Advisor
145. Roth Conversion Ladder
147. Donor-Advised Fund (Bunching)
149. Age 59½: Penalty-Free Withdrawals
151. Age 62: Early Social Security
153. Age 67: Full Retirement Age (FRA)
155. Age 73: Required Minimum Distributions
157. Primary Insurance Amount (PIA)
159. COLA (Cost of Living Adjustment)
161. Medicare Part B Premium
163. Medicare Part D
165. Medigap (Supplement Insurance)
167. Healthcare Power of Attorney
169. Age 65: Medicare Eligibility
171. Age-Based Allocation - <https://www.schwab.com/learn/story/retirement-portfolio-assets-allocation-by-age>
173. Debt Avalanche - <https://www.fidelity.com/learning-center/personal-finance/avalanche-snowball-debt>
175. Risk-Based Allocation - <https://www.morningstar.com/personal-finance/whats-difference-between-risk-tolerance-risk-capacity>
177. SPIVA U.S. Year-End 2025 scorecard, analyzed - <https://www.ifa.com/articles/spiva-report-active-vs-passive>

Community Q&A

179. [r/personalfinance](https://www.reddit.com/r/personalfinance) Prime Directive